

The Expanded Accounting Equation

Assets	=	Liabilities	+	Owner's Equity	+	Revenue	-	Expenses
Anything of value that is owned by the business in order to operate		Debts owed by the business		The difference between assets and liabilities		Inflow of assets (cash and accounts receivable) from operating during the accounting period		Costs necessary to operate the business
Examples:		Examples:		Also called:		Examples:		Examples:
Cash		Accounts Payable		Capital		Service Revenue		Rent Expense
Accounts Receivable		Notes Payable		Net Worth		Accounting Fees		Salaries Expense
Supplies		Taxes Payable		Proprietorship		Fares Earned		Repairs Expense
Equipment						Rent Income		Utilities Expense
Buildings						Medical Fees Earned		
Land								

Owner's Withdrawals

The removal of assets from the business for the personal use of the owner

Dual Effect of Withdrawal:

1. Decrease in the asset taken
2. Decrease in owner's equity